Having a safety net and something to grow

Circling back once again to those pillars of financial wellbeing, freedom and security, part of building a positive financial future means putting aside what you can for when the unexpected happens, and growing your money so that you can eventually start to prioritize other things.

Creating a fund to be used in case of emergencies or unexpected turns of events has taken on a new significance in this post-pandemic era because, whether our work and income have been affected or not, we have all seen just how suddenly and completely things can change. The myriad ways in which we have no control over certain things have been demonstrated to us in a fairly violent fashion, as we saw everything about our lives turn into something new and alien. We adapted to the new circumstances, and life went on for most of us, but I think that the feeling of absolute powerlessness in the face of a force much bigger than us as individuals will stay with us all for a long time. With this in mind, at least part of our financial wellbeing is necessarily dependent on having a cushion to fall back on in case we need it.

Different people have different views about what size of 'emergency fund' is advisable, so it's really up to you to decide what you feel comfortable with, and what you feel is achievable for you. You might like to aim for three months' worth of bills and expenses to begin with, which should cover you for a period of earning-loss between jobs, or you might prefer to